Registration number: 01767386

Howden Joinery Corporate Services Limited

Annual Report and Financial Statements

for the Period from 30 December 2018 to 28 December 2019

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Howden Joinery Corporate Services Limited

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Howden Joinery Corporate Services Limited

Company Information

Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 1 New Street Square London United Kingdom EC4A 3HQ

Howden Joinery Corporate Services Limited

Strategic Report for the Period from 30 December 2018 to 28 December 2019

The directors present their strategic report for the period from 30 December 2018 to 28 December 2019.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 27-31)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 32-37)
- Financial and non-financial KPIs (pgs 24-26)
- Future developments (pgs 8, 20-23, 30)
- Information about environmental matters, social, community and human rights issues (pgs 42-57)
- Description of culture, purpose, market, business model and strategy (pgs 10-17)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 75, 113)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 13 August 2020 and signed on its behalf by:

F. McNaughton

Forbes McNaughton
Company secretary

Howden Joinery Corporate Services Limited

Directors' Report for the Period from 30 December 2018 to 28 December 2019

The directors present their annual report and the audited financial statements for the period from 30 December 2018 to 28 December 2019.

Directors
The directors who held office during the period, were as follows:
Theresa Keating
Gareth Hopkins (resigned 24 April 2020)
Mark Robson

Dividends
No dividend was proposed or paid during the current or prior period.
Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages [30-31] of the Howden Joinery Group Plc 2019 Annual Report and accounts, which is available at
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

Political donations
The Company did not make any political donations in the current or prior period.

Charitable donations
During the period the company made charitable donations of £127,908. The individual donations are shown below:

	£
QEST (The Royal Warrant Holders Association	100,000
I Can & I Am	20,000
Other charitable donations under £2k	7,908

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future.

This judgement is based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. In assessing the quality of the commitment of support from its ultimate parent company, the directors noted the parent company's assessment of the Howden Joinery Group's going concern in its consolidated half year report dated 22 July 2020, which includes a description of how the parent company has considered and modelled possible effects of COVID 19 and Brexit on consolidated Group trading, and has concluded that it was appropriate for the consolidated half year results to be prepared on a going concern basis.

The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Employees
The Company had 64 (prior period 62) employees during the current period staff costs amounted to £34m (prior period £39m) see note 8 for breakdown.

Howden Joinery Corporate Services Limited

Directors' Report for the Period from 30 December 2018 to 28 December 2019

Principal activity
The principal activity of the company is providing and managing employees, professional fees and IT services for other Group companies. There has been no change in the Company's principal activities during the period.

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 13 August 2020 and signed on its behalf by:

F. McNaughton
.....
Forbes McNaughton
Company secretary

Howden Joinery Corporate Services Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Howden Joinery Corporate Services Limited

Independent Auditor's Report to the Members of Howden Joinery Corporate Services Limited

Report on the audit of the financial statements

Opinion
In our opinion the financial statements of Howden Joinery Corporate Services Limited (the "Company"):
- give a true and fair view of the state of the Company's affairs as at 28 December 2019 and of its loss for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion
We have audited the financial statements of Howden Joinery Corporate Services Limited (the 'Company') for the period from 30 December 2018 to 28 December 2019, which comprise the
- Profit and Loss Account,
- Statement of Comprehensive Income,
- Balance Sheet,
- Statement of Changes in Equity, and
- Notes to the Financial Statements, including a summary of significant accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including FRS 101 'Reduced Disclosure Framework'.

Basis for opinion
We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council ("FRC")'s Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern
We are required by ISAs (UK) to report in respect of the following matters where:
- the directors' use of the going concern basis of accounting in preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

We have nothing to report in respect of these matters.

Other information
The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in respect of these matters.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Howden Joinery Corporate Services Limited

Independent Auditor's Report to the Members of Howden Joinery Corporate Services Limited

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Claire Faulkner

Claire Faulkner (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

London
United Kingdom

13 August 2020

Howden Joinery Corporate Services Limited

Profit and Loss Account for the Period from 30 December 2018 to 28 December 2019

	Note	52 weeks to 28 December 2019 £ 000	52 weeks to 29 December 2018 £ 000
Turnover	4	43,342	38,754
Administrative expenses		(61,209)	(62,305)
Operating loss	6	(17,867)	(23,551)
Interest payable and similar expenses	7	(400)	(2,255)
Loss before tax		(18,267)	(25,806)
Tax on loss	11	3,494	4,945
Loss for the period		(14,773)	(20,861)

The above results were derived from continuing operations.

The notes on pages 13 to 35 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Comprehensive Income for the Period from 30 December 2018 to 28 December 2019

	Note	30 December 2018 to 28 December 2019 £ 000	31 December 2017 to 29 December 2018 £ 000
Loss for the period		(14,773)	(20,861)
Items that will not be reclassified subsequently to profit or loss			
Actuarial gain/(loss) on pension scheme, and associated deferred tax	18, 11	(39,776)	48,033
Total comprehensive income for the period		(54,549)	27,172

The notes on pages 13 to 35 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

(Registration number: 01767386)
Balance Sheet as at 28 December 2019

	Note	28 December 2019 £ 000	29 December 2018 £ 000
Fixed assets			
Intangible assets	13	4,242	15,802
Property, plant and equipment	12	4,531	6,114
Investment in shares of ultimate parent company	14	73,568	71,176
Deferred tax assets	11	10,921	8,356
		93,262	101,448
Current assets			
Trade and other receivables	15	719,216	526,051
Cash at bank and in hand	16	(1,165)	(724)
		718,051	525,327
Creditors: Amounts falling due within one year			
Trade and other payables	20	(952,664)	(732,739)
Net current liabilities		(234,613)	(207,412)
Total assets less current liabilities		(141,351)	(105,964)
Creditors: Amounts falling due after more than one year			
Provisions for liabilities	24	-	(2,292)
Defined benefit pension liability	18	(56,618)	(36,043)
Net liabilities		(197,969)	(144,299)
Capital and reserves			
Called up share capital	17	12,358	12,358
Capital contribution reserve		280,315	280,315
Share-based payments reserve		30,773	30,034
Retained earnings		(521,415)	(467,006)
Shareholders' deficit		(197,969)	(144,299)

Approved by the Board on 13 August 2020 and signed on its behalf by:

Theresa Keating
Director

The notes on pages 13 to 35 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Changes in Equity for the Period from 30 December 2018 to 28 December 2019

	Called up share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 30 December 2018	12,358	280,315	30,034	(467,006)	(144,299)
Loss for the period	-	-	-	(14,773)	(14,773)
Other comprehensive income	-	-	-	(39,776)	(39,776)
Total comprehensive income	-	-	-	(54,549)	(54,549)
Current tax on share schemes	-	-	-	46	46
Deferred tax on share schemes	-	-	-	94	94
Share based payment transactions	-	-	739	-	739
At 28 December 2019	12,358	280,315	30,773	(521,415)	(197,969)

	Share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 31 December 2017	12,358	280,315	28,799	(494,191)	(172,719)
Loss for the period	-	-	-	(20,861)	(20,861)
Other comprehensive income	-	-	-	48,033	48,033
Total comprehensive income	-	-	-	27,172	27,172
Current tax on share schemes	-	-	-	17	17
Deferred tax on share schemes	-	-	-	(4)	(4)
Share based payment transactions	-	-	1,235	-	1,235
At 29 December 2018	12,358	280,315	30,034	(467,006)	(144,299)

The notes on pages 13 to 35 form an integral part of these financial statements.

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.
The address of its registered office is:
40 Portman Square
London
W1H 6LT
England
These financial statements were authorised for issue by the Board on 13 August 2020.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, fair value measurement, financial instruments, revenue, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis. This is described further in the Directors' Report.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 30 December 2018 have had a material effect on the financial statements.

Revenue recognition

Recognition

The company earns revenue from the provision of services relating to providing employees, professional services and IT services for other Group companies. This revenue is recognised in the accounting period when the services are rendered at an amount that reflects the consideration to which the entity expects to be entitled in exchange for fulfilling its performance obligations to customers.

2 Accounting policies (continued)

The principles in IFRS are applied to revenue recognition criteria using the following 5 step model:

1. Identify the contracts with the customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when or as the entity satisfies its performance obligations

Foreign currency transactions and balances

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.
The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.
Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Tangible assets

Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation

Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	4 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	10 years

2 Accounting policies (continued)

Intangible assets
Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use. These costs are amortised on a straight line basis over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

Investments
Investments represent shares in the ultimate parent company, Howden Joinery Group Plc, which are held by employee share ownership trusts. The investments are initially recorded at cost, including purchase expenses.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Cash and cash equivalents
Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

2 Accounting policies (continued)

Financial instruments

Initial recognition
Financial assets and financial liabilities comprise all assets and liabilities reflected in the balance sheet, although excluding Tangible assets, investment properties, intangible assets, deferred tax assets, prepayments, deferred tax liabilities and employee benefits plan.

The company recognises financial assets and financial liabilities in the statement of financial position when, and only when, the company becomes party to the contractual provisions of the financial instrument.

Financial assets and liabilities are initially recognised at fair value and subsequently measured at amortised cost.

Defined benefit pension obligation
Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability recognised in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date minus the fair value of plan assets. The defined benefit obligation is measured using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future payments by reference to market yields at the reporting date on high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses are charged or credited to other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in profit or loss.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

Actuarial assumptions
The Company operates a defined benefit scheme for its employees. There is significant judgement involved in selecting appropriate measurement bases for the actuarial assumptions used to measure the pension deficit. There is also estimation uncertainty which means that reasonable alternative assumptions could have led to measurement at a materially different amount, or that a reasonably possible change in an assumption during the next period could lead to a material change in the valuation.

The key assumptions within this calculation are discount rate, inflation rates and mortality rates. These are set out in the pensions note, together with sensitivity analysis that shows the effect that these estimates can have on the carrying value of the pension deficit.

4 Turnover

The analysis of the Company's revenue for the period from continuing operations is as follows:

4 Turnover (continued)

	30 December 2018 to 28 December 2019 £ 000	31 December 2017 to 29 December 2018 £ 000
Management services recharged to other Group companies	43,342	38,754

5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

	52 weeks to 28 December 2019 £ 000	52 weeks to 29 December 2018 £ 000
Gain (loss) on disposal of tangible assets	(1)	(5)

6 Operating profit

Arrived at after charging/(crediting)

	30 December 2018 to 28 December 2019 £ 000	31 December 2017 to 29 December 2018 £ 000
Depreciation expense	1,901	1,974
Amortisation expense	2,944	2,823
Foreign exchange losses	(4)	(6)
Operating lease expense - property	987	1,453
Operating lease expense - plant and machinery	245	552
Loss on disposal of property, plant and equipment	1	5

7 Interest payable and similar expenses

	30 December 2018 to 28 December 2019 £ 000	31 December 2017 to 29 December 2018 £ 000
Pensions finance charge	400	2,255

8 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	52 weeks to 28 December 2019 £ 000	52 weeks to 29 December 2018 £ 000
Wages and salaries	11,322	10,656
Social security costs	1,812	1,620
Pension costs, defined contribution scheme	171	133
Pension costs, defined benefit scheme	19,999	25,855
Share-based payment expenses	739	1,235
	34,043	39,499

The defined benefit scheme charge in both periods relates to the cost of providing defined benefit pensions to the whole Howden Joinery Group, for the reasons explained at Note 18.

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	30 December 2018 to 28 December 2019 No.	31 December 2017 to 29 December 2018 No.
Administration and support	64	62

9 Directors' remuneration

The directors' remuneration for the period was as follows:

	30 December 2018 to 28 December 2019 £ 000	31 December 2017 to 29 December 2018 £ 000
Remuneration	3,583	2,707
Defined benefit pension	25	66
	3,608	2,773

9 Directors' remuneration (continued)

During the period the number of directors who were receiving benefits and share incentives was as follows:

	52 weeks to 28 December 2019 No.	52 weeks to 29 December 2018 No.
Received or were entitled to receive shares under long term incentive schemes	4	4
Exercised share options	1	1
Accruing benefits under defined benefit pension scheme	2	3
Accruing benefits under money purchase pension scheme	1	1

In respect of the highest paid director:

	52 weeks to 28 December 2019 £ 000	52 weeks to 29 December 2018 £ 000
Remuneration	1,654	839
Defined benefit accrued pension entitlement at the end of the period	-	43

During the period the highest paid director received or was entitled to receive shares under a long term incentive scheme.

10 Auditor's remuneration

	30 December 2018 to 28 December 2019 £ 000	31 December 2017 to 29 December 2018 £ 000
Audit of the financial statements	40	30

11 Income tax

Tax charged/(credited) in the income statement

	30 December 2018 to 28 December 2019 £ 000	31 December 2017 to 29 December 2018 £ 000
Current taxation		
UK corporation tax	(7,709)	(7,528)
UK corporation tax adjustment to prior periods	(592)	(130)
	(8,301)	(7,658)
Deferred taxation		
Arising from origination and reversal of temporary differences	4,803	2,618
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	4	95
Total deferred taxation	4,807	2,713
Tax receipt in the income statement	(3,494)	(4,945)

The tax on profit before tax for the period is higher than the standard rate of corporation tax in the UK (2018 - higher than the standard rate of corporation tax in the UK) of 19% (2018 - 19%).

The differences are reconciled below:

	52 weeks to 28 December 2019 £ 000	52 weeks to 29 December 2018 £ 000
Loss before tax	(18,267)	(25,806)
Corporation tax at standard rate	(3,471)	(4,903)
Increase (decrease) in tax from adjustment for prior periods	(589)	(35)
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	613	161
Decrease (increase) from tax losses for which no deferred tax asset was recognised	-	(76)
Increase (decrease) from effect of exercise employee share options	(47)	(92)
Total tax credit	(3,494)	(4,945)

11 Income tax (continued)

Deferred tax

Deferred tax movement during the period:

	At 30 December 2018 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 28 December 2019 £ 000
Pension benefit obligations	6,848	(4,502)	7,278	-	9,625
Provisions	200	(200)	-	-	
Accelerated tax depreciation	1,157	(109)	-	-	1,049
Share-based payment	150	3	-	94	247
Net tax assets/(liabilities)	8,356	(4,807)	7,278	94	10,921

Deferred tax movement during the prior period:

	At 31 December 2017 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 29 December 2018 £ 000
Pension benefit obligations	20,767	(2,652)	(11,267)	-	6,848
Provisions	200	-	-	-	200
Accelerated tax depreciation	1,331	(174)	-	-	1,157
Share-based payment	42	112	-	(4)	150
Net tax assets/(liabilities)	22,340	(2,714)	(11,267)	(4)	8,356

The headline UK corporation tax rate was 20% up until 1 April 2017, when it reduced to 19%. The effect of these rate reductions has been reflected in the deferred tax balances in the financial statements.

12 Property, plant and equipment

	Leasehold property £ 000	Fixtures & fittings £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation					
At 30 December 2018	4,159	591	1,095	38,542	44,387
Additions	20	4	-	587	611
Disposals	(165)	(52)	(77)	(1,255)	(1,549)
Transfers	-	-	(1,018)	1,018	-
At 28 December 2019	4,014	543	-	38,892	43,449
Depreciation					
At 30 December 2018	3,038	486	-	34,741	38,265
Charge for the period	217	35	-	1,649	1,901
Eliminated on disposal	(59)	(25)	-	(1,164)	(1,248)
At 28 December 2019	3,196	496	-	35,226	38,918
Carrying amount					
At 28 December 2019	818	47	-	3,666	4,531
At 29 December 2018	1,113	105	1,095	3,801	6,114

13 Intangible assets

	Asset under construction £ 000	Other intangible assets £ 000	Total £ 000
Cost or valuation			
At 30 December 2018	2,428	23,256	25,684
Additions	940	1,751	2,691
Disposals	(1,857)	(12,635)	(14,492)
Transfers	(1,215)	1,215	-
At 28 December 2019	296	13,587	13,883
Amortisation			
At 30 December 2018	-	9,890	9,890
Amortisation charge	-	2,943	2,943
Amortisation eliminated on disposals	-	(3,192)	(3,192)
At 28 December 2019	-	9,641	9,641
Carrying amount			
At 28 December 2019	296	3,946	4,242
At 29 December 2018	2,428	13,374	15,802

14 Investments

	28 December 2019 £ 000	29 December 2018 £ 000
Investment in shares of ultimate parent company	73,568	71,176

14 Investments (continued)

	28 December 2019 £ 000	29 December 2018 £ 000
Cost		
At 30 December	71,176	68,789
Additions	3,524	3,327
Disposals	(1,132)	(940)
At 28 December	73,568	71,176
Carrying amount		
At 28 December	73,568	71,176

The investment is in the listed ordinary shares of the Company's ultimate parent, Howden Joinery Group Plc. The shares are held in employee share ownership trusts.

15 Trade and other debtors

	28 December 2019 £ 000	29 December 2018 £ 000
Trade debtors	10	98
Debtors from related parties	712,570	519,478
Prepayments	5,900	5,197
Other debtors	736	1,278
	719,216	526,051

16 Cash at bank and in hand

	28 December 2019 £ 000	29 December 2018 £ 000
Cash at bank	(1,165)	(724)

17 Share capital

Allotted, called up and fully paid shares

	28 December 2019		29 December 2018	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	12,358	12,358	12,358	12,358

18 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £171,030 (2018 - £132,877).

Defined benefit pension schemes
Howden Joinery Group Defined Benefit Plan

Plans that share risks between entities under common control
Characteristics and risks of the plan:
The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.
There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries and this Company is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in this Company's accounts.
The Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The assets of the plan are held separately from those of the Group, being held in a trustee-administered pension plan and invested with independent fund managers. The trustee directors of the plan comprise three member-elected trustees, two independent trustees, and three Group-appointed trustees. All trustees are required to act in the best interests of the plan beneficiaries.

The plan exposes the Group to actuarial risks, such as longevity risk, interest rate risk, and market (investment) risk.
Funding and estimated contributions
The Group has an agreement with the pension plan trustees to make additional deficit contributions to the plan, over and above the normal level of contributions, of £30m per year until June 2023. The Group's estimated total cash contributions to the defined benefit plan in the 52 weeks ending 26 December 2020 are £47.0m.

18 Pension and other schemes (continued)

Contributions payable to the pension scheme at the end of the period are £Nil (2018 - £Nil).

Accounting and actuarial valuation

Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method. The most recent completed actuarial valuation was carried out at 5 April 2017 by the plan actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2017 valuation to 28 December 2019. This roll-forward exercise involves updating all the assumptions which are market-based (i.e. inflation, discount rate, rate of increase in pensions and rate of CARE revaluation) to values as at 28 December 2019. We are using CMI 2018 mortality tables, being the most recent tables available.

Reconciliation of scheme assets and liabilities to assets and liabilities recognised

The amounts recognised in the statement of financial position are as follows:

	28 December 2019 £ m	29 December 2018 £ m
Fair value of scheme assets	1,429	1,246
Present value of scheme liabilities	(1,486)	(1,282)
Defined benefit pension scheme deficit	(57)	(36)

18 Pension and other schemes (continued)

Scheme assets
Changes in the fair value of scheme assets are as follows:

	28 December 2019 £ m	29 December 2018 £ m
Fair value at start of period	1,246	1,265
Interest income	35	32
Return on plan assets, excluding amounts included in interest income/(expense)	150	(46)
Employer contributions	47	42
Benefits paid	(49)	(47)
Fair value at end of period	1,429	1,246

Analysis of assets
The major categories of scheme assets are as follows:

	28 December 2019 £m	29 December 2018 £m
Cash and cash equivalents	53	19
Equity instruments	143	125
Debt instruments	676	572
Investment funds	557	530
	1,429	1,246

Equity instruments
Equity instruments can be further categorised as follows:

	28 December 2019 £m	29 December 2018 £m
Quoted		
Passive equities	139	115
Unquoted		
Private equity	4	10
	143	125

18 Pension and other schemes (continued)

Debt instruments
Debt instruments can be further categorised as follows:

	28 December 2019 £m	29 December 2018 £m
Quoted		
Corporate bonds	170	152
Government bonds	506	420
	676	572

Investment funds
Investment funds can be further categorised as follows:

	28 December 2019 £m	29 December 2018 £m
Quoted		
Commercial property fund	37	62
Fund of hedge funds	-	89
Absolute return fund	81	68
Asset-backed securities	126	200
Insurance-linked securities	-	62
	244	481
Unquoted		
Commercial property fund	66	49
Fund of hedge funds	94	-
Insurance-linked securities	64	-
Other Secure Income	89	-
	313	49
	557	530

The plan trustees' asset allocation strategy, as communicated to members in November 2019, was to target a weighting of 60% - with a range of between 50% and 70% - in return-seeking assets (such as equities, alternative growth assets, private equity and the commercial property fund), and a weighting of 40% - with a range of between 30% and 50% - in risk-reducing assets (such as government bonds, corporate bonds, and cash and cash equivalents).

18 Pension and other schemes (continued)

Actual return on scheme's assets

	28 December 2019 £m	29 December 2018 £m
Actual return on scheme assets	185	(15)

The pension scheme has not invested in any of the company's own financial instruments or in properties or other assets used by the company.

18 Pension and other schemes (continued)

Scheme liabilities

Changes in the present value of scheme liabilities are as follows:

	28 December 2019 £m	29 December 2018 £m
Present value at start of period	1,282	1,375
Current service cost	17	20
Past service cost	-	4
Administration Cost	3	2
Actuarial gains and losses arising from changes in financial assumptions	204	(105)
Actuarial gains and losses arising from experience adjustments	(7)	(1)
Interest cost	36	34
Benefits paid	(49)	(47)
Present value at end of period	1,486	1,282

Principal actuarial assumptions

The significant actuarial assumptions used to determine the present value of the defined benefit obligation at the statement of financial position date are as follows:

	28 December 2019 %	29 December 2018 %
Discount rate	1.95	2.85
Future salary increases	4.20	4.45
Future pension increases - from 2.25% to 3.35%	3.35	3.35
Inflation - RPI	3.20	3.45

Post retirement mortality assumptions

	28 December 2019 Years	29 December 2018 Years
Current UK pensioners at retirement age - male	22	22
Current UK pensioners at retirement age - female	23	24
Future UK pensioners at retirement age - male	23	24
Future UK pensioners at retirement age - female	25	26

18 Pension and other schemes (continued)

Amounts recognised in the income statement

	28 December 2019 £m	29 December 2018 £m
Amounts recognised in operating profit		
Current service cost	(17)	(20)
Past service cost	-	(4)
Administrative expenses paid	(3)	(2)
Recognised in arriving at operating profit	(20)	(26)
Amounts recognised in finance income or costs		
Net interest	-	(2)
Total recognised in the income statement	(20)	(28)

Amounts taken to the Statement of Comprehensive Income

	28 December 2019 £m	29 December 2018 £m
Actuarial gains and losses arising from changes in financial assumptions	(197)	105
Actuarial gains and losses arising from experience adjustments	-	1
Return on plan assets, excluding amounts included in interest income/(expense)	150	(46)
Amounts recognised in the Statement of Comprehensive Income	(47)	60

18 Pension and other schemes (continued)

Sensitivity analysis

A sensitivity analysis for the principal assumptions used to measure scheme liabilities is set out below:

		28 December 2019			29 December 2018	
Adjustment to discount rate	**+ 0.25 £ 000**	**0.0% £ 000**	**- 0.25 £ 000**	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**
Present value of total obligation	(1,395)	(1,485)	(1,575)	(1,208,700)	(1,281,700)	(1,354,700)

		28 December 2019			29 December 2018	
Adjustment to rate of inflation	**+ 0.1% £ 000**	**0.0% £ 000**	**- 0.1% £ 000**	**+ 0.25% £ 000**	**0.0% £ 000**	**- 0.25% £ 000**
Present value of total obligation	(1,449)	(1,485)	(1,521)	(1,247,700)	(1,281,700)	(1,315,700)

		28 December 2019			29 December 2018	
Adjustment to mortality age rating assumption	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**
Present value of total obligation	(1,433)	(1,485)	(1,537)	(1,243,700)	(1,281,700)	(1,319,700)

The weighted average duration of the defined benefit obligation at both the current and prior period ends was 21 years.

19 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

Share Incentive Scheme ("Freeshares")

Scheme description

This is an all-employee share incentive plan whereby participants receive a grant of free shares in the Group. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

19 Share-based payments (continued)

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of awards including options, conditional awards, and restricted share awards. With the exception of (vi) below, neither dividends nor dividend equivalents are payable during the vesting period. The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options vested if cumulative PBT of £90m was achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options, the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total life of 10 years). 15% of the options vested if the group achieved growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% vested if pre-exceptional PBT growth was equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - the vesting period for which was three years commencing from the date of grant and subject to continuing employment.
(iv) Market value options - the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total of 10 years). Vesting conditions for the 2015 award are that it was based on profits for the three years ended December 2017, and that it did not vest if profits grew by below 8% over the vesting period, it vested at 15% if profits grew by 8% over the period, at 100% if profits grew by 20% over the period, and on a straight-line sliding scale if profits grew between 8% and 20%. The conditions for the 2016 award were the same except that vesting was based on profits in the three years to December 2018.
(v) Performance share plan. The vesting period for which is three years commencing from date of grant. The awards are subject to the following performance conditions
Date of award (a) 2017 (b) 2018 (c) 2019
Vesting based on growth in profits - from year ended December (a) 2016 (b) 2017 (c) 2018
for the three-year period ending with the year ended December (a) 2019 (b) 2020 (c) 2021
Award vests at 15% if profits over the vesting period grow by (a) 3% (b) 5% (c) 5%
Award vests at 100% if profits over the vesting period grow by (a) 15% (b) 15% (c) 15%

(vi) Restricted share awards, where the participant receives beneficial entitlement to shares upon grant of the award. The legal interest, however, is not transferred to the participant until the forfeiture provisions and restrictions applicable to the awards cease to apply. The shares are not subject to any performance conditions other than continued employment. Dividends are payable during the vesting period.

Recruitment Plan

Scheme description

This is a discretionary plan under which the Group may grant employees conditional rights to acquire shares subject to conditions as determined by the Group. The awards granted under this plan may only be satisfied with existing shares.

20 Trade and other payables

20 Trade and other payables (continued)

	28 December 2019 £ 000	29 December 2018 £ 000
Trade payables	487	4,129
Accrued expenses	10,950	10,692
Amounts due from fellow Group companies	940,363	717,000
Social security and other taxes	857	905
Other payables	7	13
	952,664	732,739

21 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available on request from 40 Portman Square, London W1H 6LT, or http://howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

22 Obligations under leases and hire purchase contracts

Operating leases

The total future value of minimum lease payments is as follows:

	28 December 2019 £ 000	29 December 2018 £ 000
Within one year	1,367	1,921
In two to five years	4,690	6,062
In over five years	-	1,365
	6,057	9,348

The amount of non-cancellable operating lease payments recognised as an expense during the period was £1,232,000 (2018 - £2,005,000)

Sublease arrangements

Rent from sublease of unused properties.

Total future minimum sublease income under non-cancellable operating leases expected to be received is £Nil (2018 - £1,332,659).

The amount of income recognised in the period from non-cancellable operating subleases was £Nil (2018 - £283,281).

23 Non adjusting events after the financial period

The period between the balance sheet date and the date of approval of these financial statements saw the outbreak of COVID-19 in Europe. This is treated as a non-adjusting event in these financial statements.

As the outbreak is still in progress, and its extent and duration are uncertain, it is not possible to estimate its future financial effect. We have taken it into account in assessing the Company's going concern status at the date of approving these financial statements, as we set out in more detail in the statement of going concern included in the Directors' Report.

24 Other provisions

	Leases £ 000	Total £ 000
At 30 December 2018	2,292	2,292
Provisions used	(2,292)	(2,292)
At 28 December 2019	-	-